Share Purchase Agreement (Extract of Operative Clauses)

Contract Extract | Document ID: **CLM-CONTRACT-001**

Date:	14 March 2024
Parties:	(1) Julian Ashworth-Hale and Rosalind Ashworth-Hale ("the Sellers") (2) Meridian Chemical Holdings Ltd ("the Buyer")
Subject matter:	Sale and purchase of the entire issued share capital of Hale Specialty Distribution Ltd (company no. 06773190) ("the Target")
Confidentiality:	Produced under the agreed Redfern Schedule for document production; confidential to the arbitration (LCIA Rules, Art 30)

Note: this is an extract. Only the clauses of present relevance to the arbitration are reproduced. Definitions used elsewhere in the Agreement are retained where necessary for context.

1. Definitions (extract)

"**Completion**" means completion of the sale and purchase of the Shares in accordance with clause 5, which occurred on 2 May 2024.

"**Earn-Out Period**" means the period commencing on the day after Completion and ending on 31 March 2026.

"**Restricted Business**" means the business of distributing specialty coating and industrial chemicals to third-party customers within England and Wales, as carried on by the Target as at the date of this Agreement.

"**Restricted Period**" means the period of 24 months beginning on the date of Completion.

Clause 6.4 – Deferred Consideration (Earn-Out)

(a) The Buyer shall pay to the Sellers additional consideration (“the Earn-Out Payment”) calculated by reference to the EBITDA of the Target for the Earn-Out Period (“Actual EBITDA”), as follows: (i) if Actual EBITDA is equal to or greater than £3,000,000 (“the Target EBITDA”), the Earn-Out Payment shall be £4,500,000; (ii) if Actual EBITDA is less than 80% of the Target EBITDA (i.e. less than £2,400,000), the Earn-Out Payment shall be nil; (iii) if Actual EBITDA falls between 80% and 100% of the Target EBITDA, the Earn-Out Payment shall be calculated on a straight-line basis between nil and £4,500,000.

(b) Actual EBITDA shall be calculated on a basis consistent with the Target's historic accounting policies as applied in the 3 financial years preceding Completion, without alteration, and shall not include any allocation, charge or cost of a type not historically borne by the Target prior to Completion.

(c) The Earn-Out Payment (if any) shall be apportioned between the Sellers pro rata to their respective shareholdings immediately prior to Completion (Julian Ashworth-Hale: 62%; Rosalind Ashworth-Hale: 38%).

Schedule 4, Warranty 7.3 – Material Contracts

The Sellers warrant that: (a) no Material Customer Contract has been terminated, or has been the subject of a notice (whether formal or informal) of termination or non-renewal, in the 6 months preceding the date of this Agreement; and (b) so far as the Sellers are aware, having made reasonable enquiry, there are no circumstances which are likely to give rise to the termination or non-renewal of any Material Customer Contract. For the purposes of this Warranty, “Material Customer Contract” means any contract with a customer accounting for more than 10% of the Target's revenue in the financial year ended 31 March 2023.

Clause 9 – Restrictive Covenants

(a) Julian Ashworth-Hale covenants with the Buyer that he shall not, during the Restricted Period, directly or indirectly, own, manage, operate, control, be employed by, consult for, or be otherwise engaged or interested in, any business which competes with the Restricted Business, whether as principal, partner, director, employee, agent, consultant or otherwise.

(b) Each Seller covenants that they shall not, during the Restricted Period, solicit or entice away from the Target any person who was, at Completion, an employee of the Target holding a managerial or senior sales position.

Clause 11 – Limitations on Liability

11.4 The aggregate liability of the Sellers in respect of all Warranty Claims shall not exceed £4,200,000, being 30% of the Initial Consideration.

11.6 The Sellers shall have no liability in respect of any individual Warranty Claim unless the amount of the claim exceeds £50,000, and unless and until the aggregate amount of all Warranty Claims (disregarding any claim below the preceding threshold) exceeds £150,000, in which case the Sellers shall be liable for the whole amount and not merely the excess.

11.8 No Warranty Claim shall be brought unless the Buyer has given notice in writing to the Sellers of such claim, stating in reasonable detail the nature of the claim and, so far as practicable, the amount claimed, (i) within 18 months of Completion, and (ii) legal proceedings in respect of such claim are commenced within 6 months of the giving of such notice, failing which the claim shall be deemed to have been withdrawn.

Clause 14 – Notices

14.1 Any notice to be given under this Agreement shall be in writing and signed by or on behalf of the party giving it.

14.2 A notice shall be validly given if delivered personally or sent by pre-paid first-class post to, in the case of the Sellers, Camborne Fitch LLP, marked for the attention of the partner handling the matter, with a copy to each Seller's last known address. Notices given by email shall not constitute valid service under this clause save where the recipient's authorised representative expressly acknowledges receipt in writing.

Clause 22 – Governing Law and Dispute Resolution

22.1 This Agreement and any dispute or claim arising out of or in connection with it (including non-contractual disputes or claims) shall be governed by and construed in accordance with the law of England and Wales.

22.2 Any dispute arising out of or in connection with this Agreement, including any question regarding its existence, validity or termination, shall be referred to and finally resolved by arbitration under the LCIA Rules, which Rules are deemed to be incorporated by reference into this clause. The seat of arbitration shall be London. The language of the arbitration shall be English. The tribunal shall consist of a sole arbitrator.